The Market

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An introduction to marketing

- A market is any place where **buyers and sellers can meet**, e.g. amazon.co.uk or a shopping mall
- **Different markets** have varying characteristics and are affected differently by changes
- **The aim** of **marketing is to help identify, anticipate and satisfy consumer needs and wants profitably**
  - Needs are considered essential, e.g. shelter or food
  - Wants are desires that are non-essential, even if consumers consider them to be essential, e.g. Nike trainers
- **Market research** is essential in helping businesses identify products and services they can develop in response to the needs and wants of their customers
  - Market research is the process of **systematically gathering data** from consumers that can be used to influence business decisions

Mass markets and niche markets

The characteristics of markets

- In **mass markets**, products are aimed at broad **market segments**; e.g. Kellogg's Corn Flakes is an example of a breakfast cereal aimed at the mass market
  - Market segments are groups of consumers who share similar characteristics, e.g. age, lifestyle
  - **Mass marketing** occurs when businesses sell their products to most of the available market
  - Production usually happens on a **large scale**
- In **niche markets**, products are aimed at a subset of the larger market, e.g. gluten-free products
  - **Niche marketing** occurs when businesses identify and satisfy the demands of a **small group of consumers** within the wider market
  - Production usually happens on a **small scale**

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

Mass Markets	Niche Markets
• Products are **less unique**, as they are aimed at broad market segments • **Low average costs** due to large-scale production **economies of scale** • Low prices lead to **greater affordability** and higher sales volumes • Low prices lead to **lower profit margins** • Primark is an example of a clothing company that focuses its products on the mass market	• Products are **more specialised** and unique, as they are aimed at narrow market segments • **High average costs** due to small-scale production ○ They do not benefit from economies of scale • High prices make products less affordable and lead to **lower sales volumes** • High prices can allow businesses to earn a **higher profit margin** • Louis Vuitton is an example of a fashion company that aims its products at a **niche market**

Market size and market share

Help me understand

- The size of a market can be measured through **sales volume** or **sales value**
  - Sales volume is the **number of products** sold, i.e. the physical number of units sold
  - **Sales revenue = price × quantity sold**, i.e. the financial value of the units sold
- The market share that a business enjoys is the **proportion of the total sales** of a product/service compared to the market as a whole; e.g. Tesco has 26% of the UK grocery market
- **Market share** can be calculated as follows:

$$\frac{\text{Sales of a business}}{\text{Total sales in the market}} \times 100$$

Worked Example

In 2022, the UK coffee shop market was worth £4.6bn. Sales of Starbucks Coffee totalled £328m in 2022.

Using the data, calculate, to two decimal places, the market share of Starbucks Coffee in the coffee shop / café market. You are advised to show your workings.

$$= £328m$$

Step 2: Identify the total market sales in the coffee shop market

$$= £4.6bn \text{ [1]}$$

Step 3: Substitute the figures into the formula

$$= \frac{\text{Sales of a business}}{\text{Total sales in the market}} \times 100 \text{ [1]}$$

$$= \frac{£328m}{£4.6bn} \times 100 \text{ [1]}$$

Step 4: Present the answer rounded to two decimal places

$$= 7.13\% \text{ [1]}$$

Examiner Tips and Tricks

- By providing the formula and showing your working out, even if you do not get the right answer, you will still be able to gain some marks.

Brands

- A brand is a **name, image or logo** that helps a product or service stand out from its competitors
- Branding is one of the key ways businesses achieve **product differentiation**

Some famous brands

- Brands are unique and protected by law
- Brands **add value**, often making the product or service more desirable to consumers
  - Adding value is the process by which firms **increase the price** that the consumer is willing to pay
- Brands **influence the position of the business** within its market
  - Businesses operating in mass markets use branding **to stand out** from the competition
  - Businesses operating in niche markets use branding to **communicate their offering** to a small, well-defined group of consumers
  - Strong brands are more likely to be able to **charge higher prices** for their products than weaker brands

Dynamic markets

- A **dynamic market** is a market that is **subject to rapid or continuous changes**
- Many **markets are becoming more competitive**, making change inevitable
  - Those businesses that do not adapt are less likely to survive in the long run
  - The **mobile phone market** is a good example of a dynamic market

- Businesses with **monopoly power** (e.g. Amazon) might not face the same dynamic pressures as businesses in **more competitive markets**
- Many markets are dynamic, but **others change very slowly**; e.g. the market for eggs and milk has been relatively stable for years

Changing technology ensures that the mobile phone market is dynamic

- There are four areas to consider when **examining dynamic markets**
  - Online retailing
  - How markets change
  - Innovation and market growth
  - Adapting to change

1. Online retailing

- Online retailing involves selling products via the internet

The advantages and disadvantages of online retailing for firms and consumers

Advantages	Disadvantages
• Provides **business access** to more consumers, including internationally • Enables **longer trading hours**, as the business is open 24/7 • Cheaper to run, as it lowers **fixed and variable costs** compared to	• There may be high costs for website development, maintenance and promotion • Online retailing is dominated by well-known **large businesses** • High levels of **competition** mean that

data by tracking consumer behaviour, which helps with **primary market research** • Consumers can receive offers that they are more likely to benefit from • Consumers can shop at a time that suits them	• There is a lack of **personal contact** with customers • Consumers may find it difficult to get their desired level of **customer service** • Consumers may find it difficult to **return unwanted products** • Online purchasing opens consumers up to credit card fraud

2. How markets change

- Changing market conditions offer new opportunities for firms but also pose threats
- The following changes cause markets to be dynamic:
  - **Changing consumer tastes and preferences**, e.g. consumers desiring electric vehicles in place of traditional petrol/diesel cars
  - **Changing demographics**; e.g. many developed countries have an increasingly older population who have different wants and needs compared to previous markets
  - **The amount of competition**; e.g. international trade means larger market sizes but also more competition between an increasing number of firms
    - Competition can be **direct**, i.e. the sale of similar products, or **indirect**, e.g. airlines competing with each other but also with other forms of transport, such as trains
  - **Changing legislation**; e.g. laws that strengthen environmental standards often create new markets

3. Innovation and market growth

- Product innovation involves the adaptation or improvement of existing **products**, e.g. improved video cameras on laptops
- Process innovation involves the adaptation or improvement of existing **processes**, e.g. **just-in-time** stock control
- **Market growth** is the measurement of the **change in the entire market**, expressed as a percentage of the original size
  - A **business's market share** does not necessarily increase automatically as the **entire market** continues to grow
- Market growth can be caused by numerous factors. For example:
  - **Increasing population sizes** can increase demand in certain markets
  - Increasing incomes can increase demand in certain markets
  - Changing tastes and preferences can cause the market to grow, e.g. the growth in **the electric car**

Worked Example

Sales of electric vehicles were 267,203 in 2022. This was a 40% increase from the previous year.

Calculate the number of electric vehicles sold in the UK in 2021. Round your answer to the nearest whole car. You are advised to show your workings.

[4]

Step 1: Find the number of electric cars sold in 2022

$$= 267{,}203$$ [1]

Step 2: Reduce 267,203 by 40%

$$= 267{,}203 \div 140 = 1{,}908.59$$

$$= 1{,}908.59 \times 100$$ [2]

$$= 190{,}859$$

Step 3: Express your answer to the nearest whole number of vehicles

2021 UK sales = 190,859 electric vehicles [1]

4. Adapting to change

- Recognising and adapting to market changes allows businesses to **thrive in dynamic markets**
- Strategies to adapt to change include:
  - **Create flexible business structures**, especially in terms of operations and people management
  - **Meet customer needs** by carrying out market research and communicating with customers
  - **Invest** in staff training, new products and processes
  - **Innovate** so as to gain the **first mover advantage**

How competition affects the market

- Competition occurs when **at least two businesses** are providing goods/services to the same target market
  - The more businesses in the market, the more intense the competition
- Competition can be **direct** or **indirect**
  - Direct competition occurs when the business is targeting customers with **the same product** as a competitor
  - Indirect competition occurs when **firms sell different products** but compete with each other for

such as:
    - Businesses offer lower prices
    - Businesses produce better quality products
    - Businesses provide better customer service
- The **absence of competition** reduces incentives for businesses to innovate, be efficient or offer consumers lower prices

The difference between risk and uncertainty

The difference between risk and uncertainty

- Risk is the **potential threat to business success**
    - Risks can be from **inside the business** (internal) or from **outside the business** (external)
    - Risks can be measured and prepared for using **risk management**
- Uncertainty occurs when **outcomes are difficult to predict**

Examples of risk and uncertainty

Risk	Uncertainty
• **Technical failures** due to the breakdown of essential equipment • Cybersecurity threats • Loss of **key staff members** • **Currency fluctuations** for firms trading internationally	• Businesses continue to face uncertainty after Britain's exit from the European Union • Will the economy go into **recession**? • Will **energy prices** continue to rise? • What will happen to **interest rates**? • How will **rivals react** to a new product launch?

Examiner Tips and Tricks

as the rewards associated with it.

Moreover, there are no certainties in business, so outlining potential uncertainties before making a recommendation at the end of an essay is a good way to demonstrate evaluation skills.

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